# QUARTERLY INVESTOR REPORT

Falcon Gardens | Memphis, TN

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|---|---|
| **Investment** | Falcon Gardens |
| **Quarter** | 4Q 2026 |
| **Report Date** | March 18, 2024 |
| **Sponsor** | Keel & Compass Properties |
| **Occupancy** | 88.1% |

## Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care.

Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 16 hours.

Collections for the period were 93.1% of billed charges, with bad debt of 4.7% of gross potential income. Occupancy stands at 93.9% with an average resident length of stay of 5 years. Service requests are tracked through a work-order system with an average completion time of 22 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day.

## Investment Overview

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Occupancy stands at 94.2% with an average resident length of stay of 7 years. Projected levered IRR is 7.5% with an equity multiple of 1.36x over the hold period.

Occupancy stands at 93.2% with an average resident length of stay of 10 years. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. The community provides assisted living and memory care services under a state-issued license with 8 full-time caregivers per shift.

## Management Commentary

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## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 6.3% with an equity multiple of 1.21x over the hold period. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

## Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community provides assisted living and memory care services under a state-issued license with 32 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Occupancy stands at 94.4% with an average resident length of stay of 4 years.

## Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. Projected levered IRR is 13.4% with an equity multiple of 1.2x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Dining, housekeeping, transportation and activities programming are included in the base fee. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Occupancy stands at 94.3% with an average resident length of stay of 11 years. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift.

## Management Commentary

Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Occupancy stands at 96.4% with an average resident length of stay of 8 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Collections for the period were 92.2% of billed charges, with bad debt of 4.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 26 hours. Occupancy stands at 90.9% with an average resident length of stay of 8 years. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Exterior paint | Energy | 11/07/25 | Q4 2026 | $292,000 | $73,019 | In progress |
| Sewer line repair | Energy | 08/07/23 | Q3 2025 | $41,000 | $32,060 | In progress |
| Fire alarm panel upgrade | Energy | 12/27/26 | Q4 2025 | $852,000 | $140,530 | In progress |
| Roof replacement - Bldg C | Building | 12/12/23 | Q1 2026 | $529,000 | $262,900 | In progress |
| Signage / monument | Energy | 10/30/26 | Q4 2025 | $620,000 | $154,716 | Approved |
| Signage / monument | Site | 02/12/24 | Q2 2026 | $675,000 | $204,820 | In progress |
| Landscape / irrigation | Energy | 11/11/23 | Q4 2025 | $287,000 | $297,293 | Approved |
| Sewer line repair | Energy | 02/22/25 | Q3 2025 | $721,000 | $28,137 | Deferred |
| Signage / monument | Energy | 08/12/24 | Q4 2026 | $407,000 | $283,929 | Approved |
| Sewer line repair | Life Safety | 06/02/24 | Q4 2026 | $511,000 | $374,893 | In progress |
| Lobby renovation | Energy | 02/20/23 | Q1 2025 | $272,000 | $72,279 | In progress |
| Parking lot resurfacing | Energy | 01/22/24 | Q4 2027 | $892,000 | $155,583 | Bidding |
| Security camera upgrade | Life Safety | 03/14/25 | Q3 2026 | $642,000 | $428,953 | Complete |
| Amenity renovation | Building | 05/31/23 | Q3 2027 | $779,000 | $77,687 | In progress |
| Landscape / irrigation | Site | 10/08/25 | Q1 2026 | $836,000 | $161,090 | Approved |
| Fire alarm panel upgrade | Site | 12/02/26 | Q2 2025 | $193,000 | $7,282 | In progress |
| Sewer line repair | Interior | 03/04/25 | Q1 2025 | $218,000 | $5,348 | Complete |
| Amenity renovation | Site | 09/07/23 | Q4 2026 | $624,000 | $356,735 | Deferred |
| Fire alarm panel upgrade | Life Safety | 12/23/23 | Q3 2026 | $38,000 | $17,677 | Complete |
| Landscape / irrigation | Site | 04/18/23 | Q1 2026 | $348,000 | $282,943 | Bidding |
| Fire alarm panel upgrade | Life Safety | 06/28/25 | Q3 2026 | $346,000 | $227,095 | Deferred |
| Pool resurfacing | Interior | 02/05/24 | Q2 2026 | $193,000 | $7,400 | Deferred |
| HVAC replacement | Energy | 12/28/23 | Q1 2025 | $656,000 | $379,031 | Complete |
| LED lighting retrofit | Energy | 08/22/23 | Q1 2025 | $443,000 | $250,136 | Approved |
| Door hardware | Site | 02/01/26 | Q3 2026 | $254,000 | $24,389 | Approved |
| Landscape / irrigation | Energy | 11/09/24 | Q4 2026 | $280,000 | $128,861 | Deferred |
| Pool resurfacing | Life Safety | 04/01/26 | Q4 2026 | $713,000 | $319,211 | Approved |
| LED lighting retrofit | Site | 11/05/24 | Q1 2027 | $99,000 | $34,932 | Approved |
| Signage / monument | Energy | 10/01/23 | Q4 2027 | $129,000 | $31,848 | Bidding |
| Pool resurfacing | Life Safety | 12/01/24 | Q4 2025 | $546,000 | $223,543 | Approved |
| Pool resurfacing | Building | 10/08/23 | Q3 2027 | $588,000 | $495,584 | Complete |
| Roof replacement - Bldg C | Interior | 11/26/24 | Q2 2027 | $309,000 | $261,366 | Bidding |
| LED lighting retrofit | Life Safety | 04/10/25 | Q4 2025 | $97,000 | $57,210 | Approved |
| Signage / monument | Interior | 07/17/23 | Q4 2025 | $176,000 | $76,573 | Approved |
| Roof replacement - Bldg A | Building | 06/07/24 | Q3 2027 | $580,000 | $602,994 | In progress |
| Pool resurfacing | Site | 01/19/25 | Q2 2027 | $496,000 | $173,885 | Deferred |
| Sewer line repair | Site | 08/22/24 | Q2 2026 | $411,000 | $222,430 | Bidding |
| Parking lot resurfacing | Life Safety | 09/10/23 | Q4 2026 | $505,000 | $251,110 | Bidding |
| Pool resurfacing | Site | 10/01/24 | Q3 2027 | $806,000 | $818,539 | Complete |
| Sewer line repair | Building | 03/19/23 | Q1 2025 | $459,000 | $61,962 | Bidding |
| Water heater replacement | Life Safety | 06/21/26 | Q4 2026 | $573,000 | $179,627 | Deferred |

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## Income and Expense Review

Dining, housekeeping, transportation and activities programming are included in the base fee. Operating expenses totaled $70,000 or approximately 11.61 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.99x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care.

Effective gross income for the trailing period was $35,000, representing a 10.7% increase over the prior year. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care.

## Demographics and Employment

Median household income within a 5-mile radius of the property is approximately $137,000 and has grown 9.9% annually. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. The Memphis Senior Housing market has experienced absorption of 4100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift.

Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Senior Housing assets in Memphis remains strong with recent trades at capitalization rates between 7.72% and 7.72%. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Rent growth in the submarket has averaged 5.5% annually over the past 7 years. Market vacancy for comparable Senior Housing product stands at 12.7%, down from 6.1% two years ago.

## Financial Analysis

Operating expenses totaled $420,000 or approximately 16.14 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 36 full-time caregivers per shift. Effective gross income for the trailing period was $332,000, representing a 5.3% increase over the prior year.

Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 2 full-time caregivers per shift. Operating expenses totaled $457,000 or approximately 39.30 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses.

## Submarket Analysis

Median household income within a 6-mile radius of the property is approximately $361,000 and has grown 6.8% annually. Dining, housekeeping, transportation and activities programming are included in the base fee. The Memphis Senior Housing market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community provides assisted living and memory care services under a state-issued license with 7 full-time caregivers per shift. Market vacancy for comparable Senior Housing product stands at 6.3%, down from 6.7% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors.

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## Annual Operating Budget by Account

| Account | Prior Yr Actu | Prior Yr Budg | Current Budge | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $93,482 | $98,328 | $102,449 | $8,967 | 9.6% | $485.54 |
| 5010 Loss to Lease | $257,466 | $242,710 | $247,423 | -$10,043 | -3.9% | $1,172.62 |
| 5020 Vacancy Loss | $179,546 | $188,662 | $200,815 | $21,269 | 11.8% | $951.73 |
| 5030 Concessions | $162,986 | $165,901 | $176,902 | $13,916 | 8.5% | $838.40 |
| 5040 Bad Debt | $83,045 | $85,936 | $89,821 | $6,776 | 8.2% | $425.69 |
| 5050 Late Fees | $285,468 | $266,115 | $266,799 | -$18,669 | -6.5% | $1,264.45 |
| 5060 Utility Reimbursements | $60,991 | $63,768 | $65,350 | $4,359 | 7.1% | $309.72 |
| 5070 Parking Income | $137,748 | $131,113 | $137,157 | -$591 | -0.4% | $650.03 |
| 5080 Application Fees | $319,370 | $326,593 | $344,945 | $25,576 | 8.0% | $1,634.81 |
| 5090 Pet Rent | $146,090 | $149,865 | $150,981 | $4,891 | 3.3% | $715.55 |
| 5100 Laundry Income | $60,970 | $65,129 | $67,840 | $6,869 | 11.3% | $321.52 |
| 5110 Cable/Internet Revenue | $64,841 | $64,205 | $67,660 | $2,819 | 4.3% | $320.66 |
| 5120 CAM Reimbursements | $80,108 | $76,270 | $79,134 | -$975 | -1.2% | $375.04 |
| 5130 Tax Reimbursements | $317,409 | $339,777 | $340,822 | $23,413 | 7.4% | $1,615.27 |
| 5140 Insurance Reimbursements | $75,705 | $71,806 | $75,169 | -$536 | -0.7% | $356.25 |
| 5150 Percentage Rent | $52,535 | $50,433 | $51,963 | -$571 | -1.1% | $246.27 |
| 5160 Misc. Income | $241,261 | $250,736 | $268,103 | $26,842 | 11.1% | $1,270.63 |
| 5170 Payroll - Management | $343,180 | $345,635 | $366,332 | $23,152 | 6.7% | $1,736.17 |
| 5180 Payroll - Leasing | $52,007 | $50,679 | $50,835 | -$1,172 | -2.3% | $240.93 |
| 5190 Payroll - Maintenance | $214,540 | $218,987 | $230,342 | $15,802 | 7.4% | $1,091.67 |
| 5200 Payroll Taxes & Benefits | $84,347 | $80,557 | $85,497 | $1,150 | 1.4% | $405.20 |
| 5210 Repairs - Plumbing | $257,629 | $258,606 | $261,200 | $3,571 | 1.4% | $1,237.92 |
| 5220 Repairs - HVAC | $360,952 | $385,530 | $391,914 | $30,962 | 8.6% | $1,857.41 |
| 5230 Repairs - Electrical | $237,645 | $250,070 | $252,080 | $14,435 | 6.1% | $1,194.69 |
| 5240 Repairs - Appliances | $21,654 | $22,332 | $22,604 | $949 | 4.4% | $107.13 |
| 5250 Painting & Decorating | $141,754 | $139,649 | $141,769 | $15 | 0.0% | $671.89 |
| 5260 Flooring | $19,352 | $20,237 | $21,588 | $2,236 | 11.6% | $102.31 |
| 5270 Make-Ready / Turnover | $293,046 | $282,714 | $300,539 | $7,493 | 2.6% | $1,424.36 |
| 5280 Landscaping Contract | $328,844 | $339,981 | $356,840 | $27,996 | 8.5% | $1,691.18 |
| 5290 Snow Removal | $34,611 | $32,895 | $33,990 | -$621 | -1.8% | $161.09 |
| 5300 Janitorial | $17,786 | $19,098 | $20,143 | $2,357 | 13.3% | $95.46 |
| 5310 Pest Control | $271,914 | $266,606 | $272,540 | $626 | 0.2% | $1,291.66 |
| 5320 Trash Removal | $33,443 | $35,878 | $38,277 | $4,834 | 14.5% | $181.41 |
| 5330 Elevator Contract | $241,638 | $240,727 | $243,389 | $1,750 | 0.7% | $1,153.50 |
| 5340 Fire & Life Safety | $359,736 | $376,372 | $384,637 | $24,901 | 6.9% | $1,822.92 |
| 5350 Security | $73,240 | $69,063 | $73,231 | -$10 | -0.0% | $347.06 |
| 5360 Electricity - Common | $253,269 | $249,113 | $253,411 | $142 | 0.1% | $1,201.00 |
| 5370 Gas - Common | $165,140 | $168,177 | $168,636 | $3,497 | 2.1% | $799.23 |
| 5380 Water & Sewer | $183,260 | $193,875 | $202,315 | $19,054 | 10.4% | $958.84 |
| 5390 Telephone/Internet | $34,522 | $31,857 | $32,602 | -$1,920 | -5.6% | $154.51 |
| 5400 Advertising | $157,094 | $156,581 | $157,470 | $376 | 0.2% | $746.30 |
| 5410 Resident Events | $149,482 | $144,895 | $149,172 | -$309 | -0.2% | $706.98 |
| 5420 Office Supplies | $84,113 | $78,503 | $83,138 | -$975 | -1.2% | $394.02 |

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## Business Plan Progress

Dining, housekeeping, transportation and activities programming are included in the base fee. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 47 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

## Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.6% of billed charges, with bad debt of 4.6% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 12 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 27 hours.

## Investment Overview

Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 10.7% with an equity multiple of 1.18x over the hold period. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Occupancy stands at 94.1% with an average resident length of stay of 5 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Dining, housekeeping, transportation and activities programming are included in the base fee.

## Leasing and Marketing

Occupancy stands at 95.9% with an average resident length of stay of 9 years. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average monthly revenue per occupied unit is $4,481, inclusive of base rent and levels of care. Collections for the period were 89.2% of billed charges, with bad debt of 8.0% of gross potential income. Dining, housekeeping, transportation and activities programming are included in the base fee.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 10 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 8 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members.

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# Disclaimer and Confidentiality

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. This document relates solely to Falcon Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Falcon Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Falcon Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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